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HOW BOARD MEMBER'S EDUCATION DIVERSITIES AND FINANCIAL EXPERTISE MATTER TO SUSTAINABILITY REPORT DISCLOSURE: AN INSIGHT FROM UPPER-ECHELON THEORY

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Abstract: Companies are recently developing corporate governance practices in order to manage and monitor sustainability issues, especially the role of the board of directors in the context of sustainability reports. The board of directors must be geared with sufficient expertise so that they can run their roles and functions effectively. This study aims to discover the potential influence of board members' education diversities and financial expertise on sustainability report disclosure from the perspectives of upper-echelon theory. This study examines 1276 board members of 220 manufacturing companies listed on the Indonesia Stock Exchange. The data was obtained from the firms' sustainability reports and was analyzed using content analysis and multiple regression analysis. A checklist containing 91 CSR disclosure items based on the Global Reporting Initiative was utilized. Content analysis was used to extract the CSR disclosure items from the sustainability reports. Based on the regression analysis, only the board members' financial expertise matters to the extent of disclosure of sustainability reports, while education diversities are not influential. This study is important because it uses upper echelons theory to ascertain the influence of specific board attributes, namely board members' education diversities and financial expertise, on sustainability report disclosure. As a result, it provides important implications for corporate governance regulators and different stakeholders from the perspective of sustainability report disclosure.

Keywords: Sustainability report disclosure, Financial Expertise, Board members' education, Upper-echelon theory

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INTRODUCTION

It has been widely believed that the impact of company activities on the surrounding communities, stakeholders, and the environment is quite substantial, not only today but also in the future. Companies are recently developing corporate governance practices in order to manage and monitor sustainability issues. The role of the board of directors in governance, particularly in the context of sustainability reports, has been extensively discussed in earlier studies as academics regard this topic as highly appealing. Fama and Jensen (1983) stated that the board of directors plays an important role in corporate strategic decisions and is responsible for setting company objectives and monitoring and supervising company activities. Hillman et al. (2000) and Hillman and Dalziel (2003) also pointed out that the board performs two prominent organizational functions: monitoring (control role) and resource provision (service role). Majeed et al. (2015), Fernández-Gago et al. (2016), Abu Qa'dan and Suwaidan (2019), Naciti (2019), and Waheed and Malik (2019) found that the various characteristics of board members affect firm performance in disclosing and reporting social responsibilities. Therefore, the board is instrumental not only in creating strategies and setting goals but also in planning and organizing company resources. For this reason, the board must be equipped with sufficient expertise to guarantee effective implementation of the roles and functions. Their expertise is one of the key characteristics that significantly affect their job evaluation of employee performance due to their high experience and wide knowledge (Liao et al., 2014).

As the business sustainability of organizations develops, researchers begin exploring the roles of executive characteristics in CSR performance (Wong et al., 2011; Chin et al., 2014; Yuan et al., 2017). Earlier research used the upper echelons theory to empirically prove the relationship between the board of directors and CSR performance. This theory proposes that the experience, values, and personalities of executives affect the visions, perceptions, interpretations, strategic options, and outcomes of companies (Hambrick and Mason, 1984; Finkelstein and Hambrick, 1996). Board of directors' characteristics such as age, experience, and education are frequently used as cognitive filter indicators and the founding values

for decision-making. Therefore, it can be concluded that an organization reflects the characteristics of its executives (Hambrick and Mason, 1984; Hambrick, 2007). Consistent with upper echelons theory, previous studies have shown that relationships between executives' characteristics and firm performance do exist (Wei and Ling, 2015; Wang et al., 2016; Kaur and Singh, 2013; Fernández-Temprano and Tejerina-Gaite, 2020). Furthermore, Huang (2013), Wang et al. (2018), and Sun et al. (2021) found that executives' educational background positively and significantly influences CSR performance, while Zhuang et al. (2018) pointed out that board of directors' academic experience positively affects firm's CSR performance. Umukoro et al. (2019) concluded that highly educated directors are influential in sustainability report disclosure.

Indonesia applies a two-tier board system, in which the board of directors runs managerial duties, and the board of commissioners conducts supervision. This study focuses on a board of directors with education and expertise in finance. In reference to the description above, this study aims to provide empirical evidence regarding the effect of the board of directors' attributes consisting of education and expertise on the disclosure of sustainability reports by public manufacturing companies in the period of 2014-2018. This group of companies was selected for their great potential for environmental damage (Mathews, 2000).

Several past studies have shown that there are relationships between executive characteristics and firm performance. Kaur dan Singh (2013), Wei and Ling (2015), and Wang et al. (2016) find that the top management's educational level is instrumental in decision-making and is detrimental to a firm's financial performance. A similar idea was proposed by Fernández-Temprano and Tejerina-Gaite (2020) that the board of directors' characteristics, i.e., experience, age, and tenure, influence corporate financial performance. The board of directors must be geared with sufficient expertise so that they can run their roles and functions effectively. Expertise is skill or knowledge in a certain field owned by an individual. Michelin and Parbonetti (2012) found that the expertise of the board of directors in CSR positively influences the CSR reporting of European and US companies. This finding is supported by Al-Mamun and

Seamer (2020), who conclude that the experience of being abroad and the business expertise of board members influence the application of CSR in Asia. Meanwhile, Uyar et al. (2020) and Velte and Stawinoga (2020) found that board members with expertise in environmental and social sustainability tend to affect environmental performance. A study discussing the board of directors' expertise in the sustainability context was conducted by Michelon and Parbonetti (2012), who found that the expertise of the board of directors in CSR positively influences the CSR reporting of European and US companies. Homroy and Slechten (2019) stated that the presence of board members with expertise in environmental and social sustainability affects environmental performance. The board of directors is responsible for the creation of values for the company by supporting and conducting CSR disclosure for the best interest of shareholders, and their governance practice determines corporate disclosure (Harjoto and Wang, 2020; Khan et al., 2013).

From previous research, it appears that there is a research gap, namely, a gap for researchers to carry out research related to the variables studied. The novelty of this research is the measurement of board members' education and financial expertise, which is proxied by the ratio of its total divided by the total number of the board in the company. This research was conducted to discover the potential influence of board members' education diversities and financial expertise on sustainability report disclosure from the perspectives of upper-echelon theory. This research's findings are expected to increase companies' awareness of the importance of carrying out their social responsibility and to become empirical evidence concerning the application of upper echelons theory and stakeholder theory in Indonesian companies, as well as to be used as a reference for future studies.

LITERATURE REVIEW

Upper Echelons Theory

Hambrick and Mason (1984) presented theoretical frameworks that the characteristics of top management (upper echelons) influence decisions and practices taken and made by organizations because the said characteristics are closely related to the cognitive basis, values, and perceptions that affect decision-making. They believed that cogni-

tive biases in decision-making and personal values serve as filters when analyzing and interpreting complex situations by way of influencing strategic choices. They further proposed that the board of directors' characteristics, such as age, functional experience, and education, are frequently used as indicators for cognitive filters and value basis for decision making. Upper echelon theory also postulates that the experience, values, and personality of firm executives influence the vision, perception, interpretation, strategy selection, and outcome of organizations (Hambrick and Mason, 1984; Finkelstein and Hambrick, 1996). Hence, executives implement their personality, experience, and values into their behavior, which affects their selection of strategy in their organizations. It can be concluded that an organization reflects the characteristics of its executives (Hambrick and Mason, 1984; Hambrick, 2007).

Upper echelons theory refers to top management figures such as CEOs and top management teams. Since it is the executives who are responsible for the entire organization, their characteristics, what they do, and how they do it specifically influence the firm's outcome (Cannella et al., 2008). Wiersema and Bantel (1992) asserted that knowledge base and intellectual competence are crucial for firm performance. This notion is similar to the finding of Carson et al. (2004) that the higher education background of top management or board of directors as organizational decision-makers has a substantial effect on firm performance. Consistent with the aforementioned theory, several past researches show that there are relationships between executive characteristics and firm performance. Wei and Ling (2015), Kaur dan Singh (2013), and Wang et al. (2016) confirmed the theory through their finding that the top management's educational level is instrumental in decision-making and is detrimental to a firm's financial performance. A similar idea was proposed by Fernández-Temprano and Tejerina-Gaite (2020) that the board of directors' characteristics, i.e., experience, age, and tenure, influence corporate financial performance.

Stakeholder Theory

In its development, corporate social responsibility was founded on one main theory, the stakeholder theory. According to Freeman (1984), this

theory emphasizes groups or individuals having interests in the existence of a company. He also stated that companies have responsibilities to a wider group of stakeholders, not only shareholders. A stakeholder is defined as any individual or group that can influence and be influenced by business activities. It includes employees, customers, suppliers, creditors, and even broader communities and competitors (Freeman et al., 2004).

Friedman (2007), who acknowledges stakeholders as an important element of CSR, stated that a company consists of stakeholders who have, or claim to have, ownership, rights, and interests in a company and its activities. Under this framework, anyone who may influence business goals and anything that may be influenced by their realization is considered a stakeholder. A company's business activities can directly and indirectly influence the well-being of stakeholders, including shareholders, employees, customers, suppliers, local communities, the natural environment, the government, and the general public. Each stakeholder group has its own expectations of the corporation, and the corporation's reaction to the expectation is the key to its immediate and future success. Waddock and Graves (1997) argued that CSR involvement can increase relationships between various stakeholder groups and produce better firm performance. Waldman and Siegel (2008) asserted that a company's involvement level in CSR is influenced by the CEO's characteristics, while Jo and Harjoto (2011) found that CSR involvement positively influences firm performance. Stakeholder theory indicates that the extent to which managers address stakeholder's interests depends on their values and moral guidelines (Huang, 2013). CSR and performance are important for companies as stakeholders will question those that are low in responsibility (Cannella et al., 2008). Stakeholder theory emphasizes accountability as being higher than simple economic or financial performance (Lock and Seele, 2017). This theory states that organizations will choose to voluntarily disclose their environmental, social, and intellectual performance, above and beyond the obligation they are asked, to fulfill the real expectation or the acknowledgment of stakeholders. Thus, company activities also consider stakeholder consent. The stronger the stakeholders, the more the company needs to adapt to them. Social and environmental

disclosure is then seen as a dialog between the company and stakeholders. Based on this theory, the more diverse the stakeholders of a company, the more information needs to be reported, particularly considering the fact that stakeholders really consist of various characteristics.

HYPOTHESIS DEVELOPMENT

Board Members' Education Diversity and Sustainability Reporting

Zhuang et al. (2018) argued that the academic degree of the board of directors is positively related to a firm's CSR performance, while Umu-koro et al. (2019) found that directors with high education are influential in sustainability report disclosure. The same idea was also presented by Wang et al. (2018) that CEO's educational level has a positive and significant effect on a firm's CSR performance. Velte (2019) stated that the CEO's educational level influences CSR performance. This finding is supported by Beji et al. (2020), pointing out that directors with postgraduate degrees positively and significantly related to CSR scores, while Huang (2013) asserted that CEOs with MBA or MSc have a positive role in CSR performance improvement. This research was followed by Sun et al. (2021), finding that CEOs with MBAs are positively related to a firm's CSR performance.

Based on the explanation above, and in harmony with upper echelons theory, the educational level of the board of directors influences CSR performance. Hence, the higher the education of the board of directors, the higher the CSR performance. Therefore, the proposed hypotheses are as follows.

H1a: Board of directors with advanced degrees positively influence sustainability report disclosure.

H1b: Board of directors with academic degrees in accounting and finance positively influence sustainability report disclosure.

Board Members' Financial Expertise and Sustainability Reporting

A study discussing the board of directors' expertise in the sustainability context was conducted by Michelin and Parbonetti (2012), who found that the expertise of the board of directors in CSR positively influences the CSR reporting of Euro-

pean and US companies. Homroy and Slechten (2019) stated that the presence of board members with expertise in environmental and social sustainability affects environmental performance. The board of directors is responsible for the creation of values for the company by supporting and conducting CSR disclosure for the best interest of shareholders, and their governance practice determines corporate disclosure (Khan et al., 2013; Harjoto and Wang, 2020). Based on the explanation above, and in line with upper echelons theory, the board of directors' expertise, consisting of financial and non-financial expertise, influences a firm's CSR performance. This means that the higher the expertise of the board, the better the firm's CSR performance will be. Shahab et al. (2020) found that CEOs with financial expertise tend to focus on sustainable performance and environmental reporting. This finding indicates that financial expertise is a key characteristic of top management; it can produce not only sound financial performance but also non-financial one, as well as involvement in social and sustainability activities. Therefore, the proposed hypotheses are as follows.

H2 : The board of directors with expertise in accounting and finance positively influences sustainability report disclosure.

METHOD

This study uses content analysis to extract CSR disclosure items from the companies' annual reports and from information presented on their websites. The items from those sources were then combined to create the CSR disclosure index (Said et al., 2009; Crisostomo et al., 2011). As this research uses a descriptive quantitative approach, it uses secondary data obtained from the companies' annual, financial, and sustainability reports. The companies are manufacturing companies listed on the Indonesia Stock Exchange from 2014 to 2018. This period was selected for it coincided with the release of South Asia's Guidelines for Corporate Social Responsibility Reporting, which was called GRI 4, in Amsterdam, the Netherlands, on May 22, 2013, during the Global Conference for Sustainability Reporting, which was attended by 1600 participants from 70 countries, 20 of which were from Indonesia. Companies listed on the Indonesia Stock Exchange were selected as the population because they have the obligation to present

their annual reports to stakeholders, so it was possible to obtain the annual report data.

This study uses secondary data harvested from the annual, financial, and sustainability reports of 44 manufacturing companies listed in the Indonesia Stock Exchange for five years from 2014 to 2018. The data concerning the board of directors' profile was obtained from OSIRIS. The sample was selected using purposive sampling, resulting in 1276 people from 220 manufacturing companies. This sector was selected as companies in it are influential to the community and environment (Testa and D'Amato, 2017; Widiastuty and Soewarno, 2019). The criteria for the sample are that the companies should be listed in the IDX and publish annual reports from 2014 to 2018, that the data concerning the variables must be available, and that the companies should not be delisted during the research period.

Independent Variable

The independent variables are educational background and expertise. The educational background is represented by members of the board of directors with advanced degrees (master's and doctoral) and academic degrees in accounting and finance and accounting, while expertise is represented by professional degrees in accounting and finance (CA, CPA, CMA, etc.) All of the variables were measured by searching them in the yearly-arranged annual reports so that the data about the proportion of board members with postgraduate degrees, academic degrees in accounting and finance, and professional degrees in accounting and finance were acquired. Dummy scores of 1 and 0 were given to each. The results were then divided by the total number of the board members. The details are presented below. Advanced degree was calculated by dividing the number of board members with postgraduate degrees by the total number of board members. The calculation is as follows.

$$\text{Advanced Degree} = \frac{\text{number of board members with postgraduate degree}}{\text{total number of board members}}$$

Degrees in accounting and finance were calculated by dividing the number of board mem-

bers with academic degrees in accounting and finance by the total number of board members. The calculation is as follows.

$$\text{Degree in accounting and finance} = \frac{\text{number of board members with academic degree in accounting and finance}}{\text{total number of board members}}$$

Expertise in accounting and finance was calculated by dividing the number of board members with professional degrees in accounting and finance by the total number of board members. The calculation is as follows.

$$\text{expertise in accounting and finance} = \frac{\text{number of board members with professional degree in accounting and finance}}{\text{total number of board members}}$$

Dependent Variable

The dependent variable of this research is the disclosure of the sustainability report. The calculation, referring to GRI 4, which consists of 91 items, is as follows.

$$CSRI_i = \frac{\sum X_{yi}}{n_i}$$

Note:

$CSRI_i$: Index for the extent of social and environmental responsibility disclosure of company i.

$\sum X_{yi}$: 1 = if item y is disclosed; 0 = if item y is not disclosed.

n_i : item number for company i, $n_i \leq 91$.

Control Variable

This study uses control variables by referring to the research of Sun and Rahman (2013) and Shahab et al. (2020); they are Return on Equity (ROE), leverage, firm size, firm age, and Market-to-Book Value (MBV) ratio. ROE was calculated by dividing net income by total equity, while leverage uses the Total Debt Ratio in Book Value (TDBV), and firm size was measured based on the natural logarithm of total assets. Firm size is more relevant to be used as a control variable because it was proven that smaller companies are less atten-

tive to CSR (Waddock and Graves, 1997). Firm age is used to indicate a company's experience in running its business. Older companies tend to have good organization in terms of structure, process, and system, while the younger ones tend to be less rigid in their organizational structure. Finally, MBV was calculated as the ratio of the market value of common equity to the book value of common equity to capture the company's investment opportunities.

Analysis Method

This study uses descriptive statistics, multiple regression, classical assumption tests, and hypothesis testing. The formula for the multiple regression is as follows.

$$CSRD = \alpha_0 - \beta_1 (\text{Advanced Degree}) + \beta_2 (\text{Degree in Accounting and Finance}) + \beta_3 (\text{Expertise in accounting and Finance}) + \beta_5 (\text{Control Variable}) + \varepsilon$$

RESULTS

Descriptive Statistical Test

The results of the descriptive statistical test in Table 1 indicate that CSRD has a minimum value of 0.01, which indicates that there are companies that disclose their social and environmental activities in very small proportions. However, the maximum value of 0.62 indicates that there are companies that extensively disclose their sustainability activities. Thus, manufacturing companies in Indonesia are considered to focus on social and environmental activities. Apart from being the duties and responsibilities of stakeholders, CSR involvement can also improve the relations between various stakeholder groups, which will result in better company performance (Waddock and Graves, 1997).

Table 1 shows that the advanced degree, degree in accounting and finance, and expertise in accounting and finance of the board of directors has the minimum value of 0.00, which indicates that the proportion of board of directors from several companies with these backgrounds is very small, or even zero. Thus, it can be interpreted that the level of formal education and certification in finance is not the main point of the board of directors. Companies can assess it from experience, career, and knowledge in addition to educational background.

Table 1. Descriptive Statistics

Statistics	Minimum	Maximum	Mean	Std. Deviation
Y CSR	0,01	0,62	0,2559	0,10747
X1 Advanced Degree	0,00	1,00	0,3690	0,25174
X2 Degree in accounting and finance	0,00	0,83	0,3021	0,22346
X3 Expertise in accounting and finance	0,00	0,67	0,0467	0,11248
Z1 ROE	-8,81	143,53	14,8094	24,98769
Z2 Leverage	-1,20	2,35	0,4535	0,33519
Z3 Size	1,24	30,73	11,5942	11,21970
Z4 Age	1,00	1,02	1,0101	0,00390
Z5 MBV	0,01	249,00	15,6540	38,08569

Source: Processed Data (2022)

However, when we look at the maximum value, many companies prioritize background according to their fields because they believe that this background can lead to better analysis and decisions. In terms of control variables, Return on Equity (ROE) and leverage have negative minimum values. This indicates that there are compa-

nies that suffer losses and have a small debt ratio. At the maximum value, MBV has the highest value, which is 249.00. However, there are variables that have highly heterogeneous data in which the standard deviation value is higher than the average value, such as Return on Equity and Market-to-Book value.

Table 2. Pearson's Correlation

Variable	1	2	3	4	5	6	7	8	9
Y CSR	1								
X1 Advanced Degree	-0,121	1							
X2 Degree in accounting and finance	-0,079	0,908**	1						
X3 Expertise in accounting and finance	-0,226**	0,299**	0,180**	1					
Z1 ROE	-0,011	0,134*	0,162*	-0,066	1				
Z2 Leverage	0,013	0,049	0,108	0,096	0,092	1			
Z3 Size	-0,064	-0,077	-0,087	0,060	-0,243**	0,036	1		
Z4 Age	0,208**	-0,017	0,004	0,036	0,433**	0,066	-0,373**	1	
Z5 MBV	-0,038	-0,169*	-0,138*	0,022	0,185**	0,083	0,137*	0,049	1

Notes: Y_CSR, Corporate Social Responsibility; X1 Advanced Degree, Board of directors' postgraduate degree; X2 Specified Adv Degree in Business, Board of directors' degree in accounting and finance; X3 Certification Includes CSR, Professional certification in finance; Z1 ROE, Return on Equity; Z2 Leverage, Long-term Debt Ratio; Z3 Size, Firm size; Z4 Age, Firm age; Z5 MBV, Market-to-Book Value.

** Correlation is significant at the 0.01 level (2-tailed), *Correlation is significant at the 0.05 level (2-tailed).

Source: Processed Data (2022)

Table 3. Hypothesis Testing

Statistic	CSR		
	Coef B	Std Err	Sig
X1 Advanced Degree	-0,032	0,071	0,654
X2 Degree in Accounting and Finance	0,023	0,078	0,770
X3 Expertise in Accounting and Finance	-0,225	0,068	0,001**
Z1 ROE	-0,001	0,000	0,071
Z2 Leverage	0,009	0,021	0,658
Z3 Size	0,000	0,001	0,741
Z4 Age	7,780	2,105	0,000***
Z5 MBV	-9.21E-02	0,000	0,636

Note: Coef= Coefficient; Std Err= Standard error; Sig= significant level.

*P < 0.05

**P < 0.01

***P < 0.001

Source: Processed Data (2022)

Pearson's Correlation Test

The results of Pearson's analysis show that the advanced degree and degree in accounting and finance of the board of directors have an insignificant effect on the disclosure of sustainability reports. This means that the formal educational background of the board of directors has no correlation with the level of the company's sustainability activities. There are many other factors that influence the level of social and environmental activities. One of them is that companies will voluntarily disclose their environmental, social, and intellectual performance, above and beyond the obligation they are asked, to fulfill the real expectation or the acknowledgment of stakeholders. Thus, company activities also consider stakeholder consent. The stronger the stakeholders, the more the company needs to adapt to them. Social and environmental disclosure is then seen as a dialogue between the company and stakeholders. However, expertise in accounting and finance has a significant correlation to CSR, which is -0.226 with a significance value of 0.001. The control variable that correlates with CSR is firm age, with a value of 0.208 with a significance value of 0.002. Other control variables such as firm size, Return on Equity, leverage, and MBV are not correlated with CSR.

Hypothesis Testing

The multiple linear regression supported the previously described hypotheses. The statistical

tests found that not all independent variables affect the disclosure of sustainability reports. First, advanced degrees and degrees in accounting and finance have a value of 0.654 and 0.770 at a significance level greater than 0.05. It indicates that the board of directors' advanced degree and academic degree in accounting and finance do not affect the disclosure of sustainability reports. Many other factors affect the disclosure of sustainability reports, such as the existence of the company for the stakeholders. Stakeholder theory states that companies will voluntarily disclose their environmental, social, and intellectual performance, above and beyond the obligation they are asked, to fulfill the real expectation or the acknowledgment of stakeholders. Thus, the academic degree of the board of directors is not the main reason for companies to disclose sustainability reports.

Second, expertise in accounting and finance has a value of 0.001 at the significance level of 0.01. Hence, the expertise of the board of directors in accounting and finance influences the disclosure of sustainability reports. This proves that the higher the expertise of the board of directors in accounting and finance, the higher the sustainability report disclosure. The board of directors has a central role not only in building corporate strategy and setting goals but also in planning and managing corporate resources. Therefore, they must be supported with adequate expertise to carry out these roles and functions effectively. This is in accord-

ance with the opinion of Michelin and Parbonetti (2012), who found that the expertise of the board of directors in CSR positively influences CSR reporting. Homroy and Slechten (2019) also stated that the presence of board members with expertise in environmental and social sustainability affects environmental performance. Based on this explanation, and in line with the upper echelon theory, the expertise of the board of directors, which includes expertise in accounting and finance, affects the disclosure of the company's sustainability report.

Finally, not all control variables influence a company's CSR disclosure. Based on Table 3, Return on Equity (ROE), leverage, firm size, and MBV do not affect the disclosure of sustainability reports, but firm age affects the disclosure of sustainability reports at a significance level of 0.000, which is smaller than 0.001. This indicates that the older the company, the higher its focus on social and environmental activities because the longer the company is established, the greater its obligations and responsibilities to the environment. Companies need to maintain their existence so that they are well known by the public; this requires stakeholder support. Hence, the company's activities also require stakeholder's approval. The stronger the stakeholders, the more the company needs to adapt to them. Social and environmental disclosure is then seen as a good step for companies to communicate with stakeholders.

DISCUSSION

The board of directors is central to building corporate strategy, setting goals, and planning and managing corporate resources. Therefore, they must be supported with adequate expertise to effectively carry out these roles and functions. This is in accordance with the opinion of Michelin and Parbonetti (2012), who found that the expertise of the board of directors in CSR positively influences CSR reporting. Homroy and Slechten (2019) also stated that the presence of board members with expertise in environmental and social sustainability affects environmental performance. Based on this explanation, and in line with the upper echelon theory, the expertise of the board of directors, which includes expertise in accounting and finance, affects the disclosure of the company's sustainability report.

This research also implied that the board of

directors' advanced degree and academic degree in accounting and finance do not affect the disclosure of sustainability reports. Many other factors affect the disclosure of sustainability reports, such as the company's existence for the stakeholders. Stakeholder theory states that companies will voluntarily disclose their environmental, social, and intellectual performance, above and beyond the obligation they are asked, to fulfill the real expectation or the acknowledgment of stakeholders. Thus, the academic degree of the board of directors is not the main reason for companies to disclose sustainability reports.

It can be interpreted that the level of formal education and certification in finance is not the main point of the board of directors. Companies can assess it from experience, career, knowledge, and educational background. However, when we look at the maximum value, many companies prioritize background according to their fields because they believe this background can lead to better analysis and decisions. This means that the formal educational background of the board of directors does not correlate with the level of the company's sustainability activities. Many other factors influence the level of social and environmental activities. One of them is that companies will voluntarily disclose their environmental, social, and intellectual performance, above and beyond the obligation they are asked, to fulfill the real expectation or the acknowledgment of stakeholders. Thus, company activities also consider stakeholder consent. The stronger the stakeholders, the more the company needs to adapt to them. Social and environmental disclosure is a dialogue between the company and stakeholders.

Besides the main variable, this research showed that the results of the control variable also support the hypothesis. This indicates that the older the company, the higher its focus on social and environmental activities because the longer it is established, the greater its environmental obligations and responsibilities. Companies need to maintain their existence so that the public knows them well; this requires stakeholder support. Hence, the company's activities also require stakeholder's approval. The stronger the stakeholders, the more the company needs to adapt to them. Social and environmental disclosure is a good step for companies to communicate with stakeholders.

IMPLICATIONS

The practical implication of the results of this research is that disclosure of CSR is a form of company communication to stakeholders. The theoretical implication of the results of this research is support for the Stakeholder theory and upper-echelon theory relating to transparency and information disclosure in the capital market.

RECOMMENDATIONS

Future research suggested adding or using other variables different from those included in this research so that other independent variables that have a greater influence on leverage and firm performance can be identified. In addition, different research objectives or company sectors are advised to be studied. This research has several limitations. First, searching for CSR Disclosure information uses a website that has limitations in capturing information. Second, the source of board members' profile data comes from annual reports, which have limitations in capturing information.

CONCLUSIONS

The results of this study provide empirical evidence regarding the effect of the board of directors' educational background consisting of an advanced degree, an academic degree in accounting and finance, and expertise in accounting and finance on the sustainability report disclosure of Indonesian manufacturing companies listed on the Indonesia Stock Exchange. This study also finds that only the board of directors expertise in accounting and finance positively influences sustainability report disclosure, while educational background does not affect the disclosure. The board of directors has a central role not only in building corporate strategy and setting goals but also in planning and managing corporate resources. Therefore, they must be supported with adequate expertise to carry out these roles and functions effectively. Board of directors with expertise in sustainability, namely in environmental and social activities, influencing environmental performance. Based on this explanation, and in line with the upper echelon theory, the expertise of the board of directors, which includes expertise in accounting and finance, affects the disclosure of sustainability reports. Furthermore, this study finds that the only control variable that affects corporate sus-

tainability disclosure is firm age. The older the company, the greater its obligations and responsibilities to the surrounding environment. This indicates that the older the company, the higher its focus on social and environmental activities because the longer the company is established, the greater its obligations and responsibilities to the environment. Companies need to maintain their existence so that they are well known by the public; this requires stakeholder support. Therefore, the company's activities also require stakeholder approval. Based on the stakeholder theory, the stronger the stakeholders, the more the company needs to adapt to them. Social and environmental disclosure is then seen as a good step for companies to communicate with stakeholders.

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